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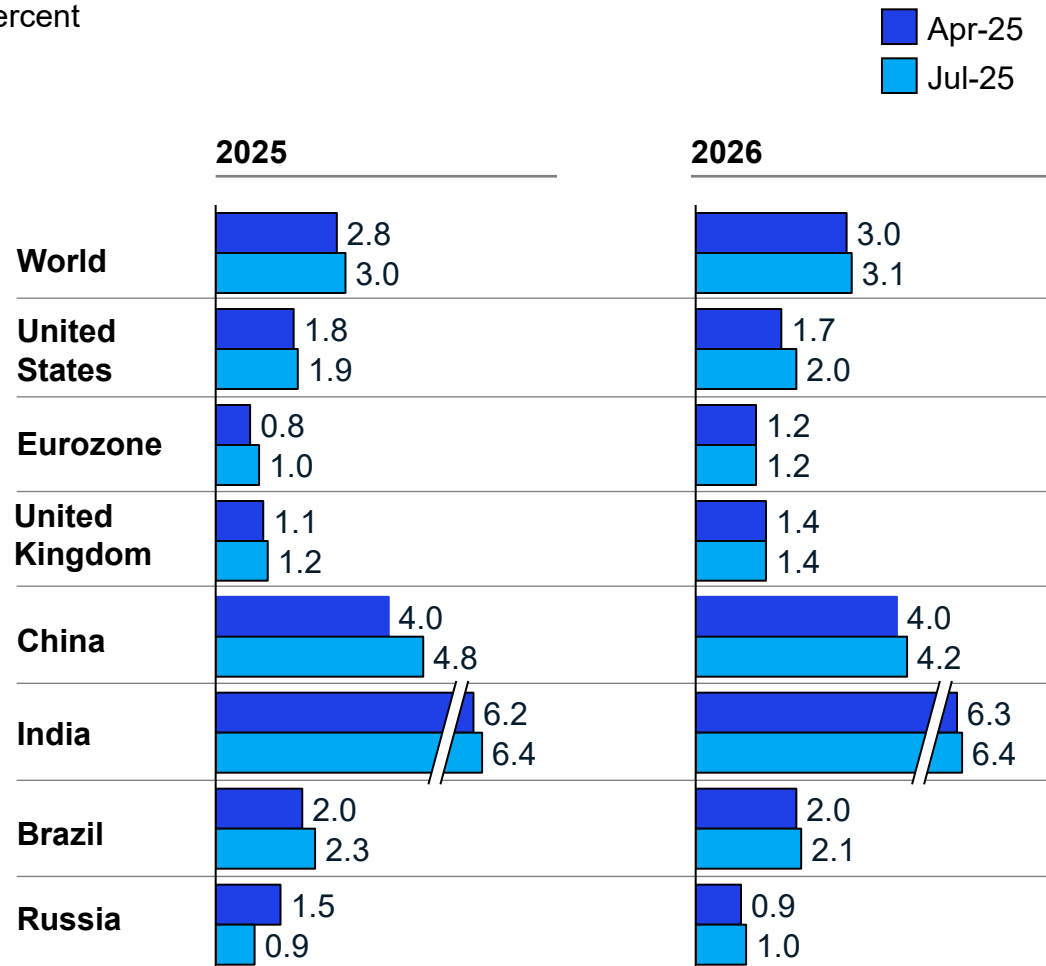
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IMF revises global growth estimates upward but warns of ongoing trade tensions, while major economies—mainly the US and China—recorded strong growth in Q2 2025

Real GDP growth : IMF projections

Percent



IMF revises global growth estimates upward but warns of ongoing trade tensions, while major economies—mainly the US and China—recorded strong growth in Q2 2025. Central banks remain in a holding pattern on interest rates.

The International Monetary Fund has raised global growth estimates to 3.0 percent for 2025 and 3.1 percent in 2026, according to its July 2025 World Economic Outlook Update released on July 29. Representing an upward revision from the April update, the projections reflect “front-loading ahead of tariffs, lower effective tariff rates, better financial conditions (including a weaker US dollar), and fiscal expansion in some major jurisdictions.” Nevertheless, the IMF emphasizes that its latest projections are some 0.2 percentage points below its pre-April 2 forecasts, “indicating that the trade tensions are hurting the global economy.”

The IMF suggests global inflation is expected to fall, while US inflation is predicted to stay above target. It anticipates global inflation reaching 4.2% in 2025 and 3.6% in 2026. It has flagged the downside risks from potentially higher tariffs, elevated uncertainty, and persistent geopolitical tensions, urging policymakers to make “restoring confidence, predictability, and sustainability” a priority. Notably, the Washington-based institution highlighted the need to reduce trade policy uncertainty and for countries to address fiscal vulnerabilities.

Meanwhile, the tariff story continues to unfold. A day after the IMF urged a reduction in tariff uncertainty, US President Donald Trump signed an executive order imposing 50% tariffs on Brazilian imports to the United States. Previously announced on July 9, the move is widely seen as designed to apply pressure in relation to the trial of former president Jair Bolsonaro in Brazil’s Supreme Court. On July 31, further tariff announcements saw US near neighbors—Mexico and Canada—each fare somewhat differently. Canadian

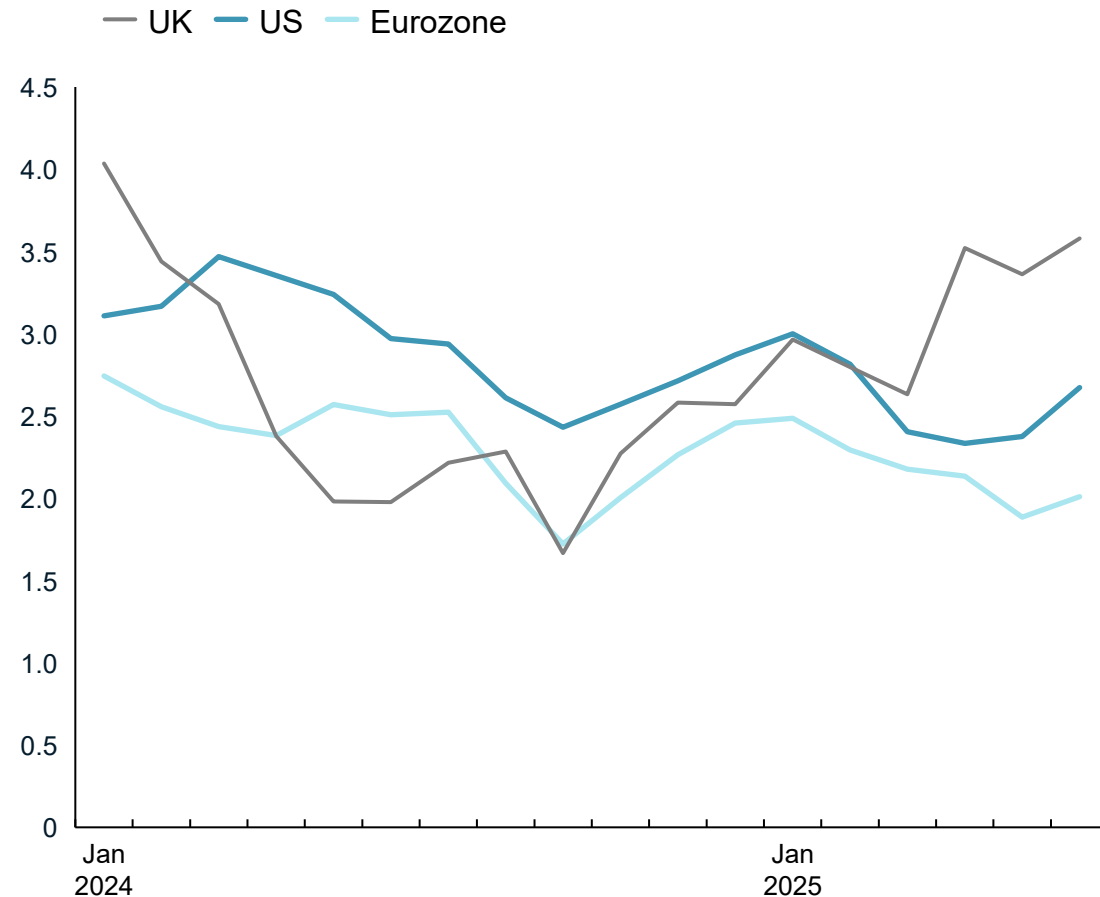
goods now face a 35% tariff (up from 25%) on all products not covered by the US-Mexico-Canada trade agreement, while the White House held the import tax rate for Mexican goods at 25% for 90 days as talks with Mexican President Claudia Sheinbaum continue. Moreover, in the case of Canada, goods transshipped to another country to evade the new tariffs would be subject to a transshipment levy of 40%, the White House says. Among other countries to be hit with significant tariffs are Switzerland (39%), India (25%), and Taiwan (20%). Earlier in the month, the United States announced that it had reached new trade agreements with the European Union and Japan. In both cases, the deals establish new tariffs on most exports to the US at a rate of 15%. The framework deal with Europe also includes a commitment to purchase \$750 billion in US energy over the next three years. What does this mean for the US tax take? The latest US customs duties data show that new tariffs have increased monthly import tax revenue around \$6.5 billion to \$21.5 billion. If the current trajectory continues, new tariffs might bring around \$250 billion to \$300 billion into US government coffers in 2025.

July was largely uneventful in terms of monetary policy, with only Russia cutting its policy rate, by 200 basis points to 18%, hard on the heels of a 100 basis points cut the previous month. Notably, the US Federal Reserve’s Federal Open Market Committee held interest rates steady for a seventh consecutive month in a split decision on July 30, despite a strong steer from President Trump. This decision maintains interest rates within the target range of 4.25–4.5%, where they have remained since January.

Initial GDP estimates for Q2 2025 indicate the US economy grew 3% (quarter on quarter, annualized), primarily driven by household consumption and an improvement in net trade due to a significant decline in imports. Meanwhile, China’s second-quarter GDP growth rate was reported at 5.2% year on year, almost in

June saw broad-based consumer price increases, particularly in developed economies (1/2)

Consumer Price Inflation Percent, 12-month change



line with the pace of growth in the first quarter (5.4%). The annual target was set at 5.0% earlier this year by the government. Consumption accounted for most of the growth in GDP (52.3%), followed by investment (24.7%) and net exports (23.0%).

Global consumer confidence has recently seen a slight increase, driven mainly by improvements in sentiment among US and UK consumers. However, US consumer confidence deteriorated in June, dropping by 5.4 points to 93.0, according to the Conference Board. In the eurozone, consumer confidence edged up by 0.6 points in July but remained well below its long-term average, highlighting continued caution among households. Nevertheless, business sentiment in the eurozone showed modest improvement in July. In Brazil, consumer confidence remained below the neutral 100 mark, with the seasonally adjusted June figure (from FGV) trending down at 85.9 (86.7 in May). At the same time, Brazil saw business confidence slide slightly in June, to 92.5 (from 94.2 in May).

Despite this, consumers—especially in some developed economies—continue to spend, while China has seen some deceleration. In the US, retail and food services sales rose by 0.6% in June to \$720.1 billion, up from \$715.5 billion in May. In contrast, eurozone retail sales weakened in May, falling 0.7% month on month but increasing 1.8% year on year. In India the strength of domestic demand was underlined by figures from the Retail Association of India showing an 8% year-on-year retail sales increase in June.

In July, financial markets expectations for short- and long-term inflation edged up to 2.5%. In the United States, median inflation expectations declined slightly to 3.0% for the one-year-ahead horizon and remained stable at 3.0% and 2.6% for the three- and five-year horizons, respectively.

On the commodities markets, precious metals have continued one of their strongest growth runs since 2011, while other asset classes moved sideways in

July, although gold prices remained largely flat. At the same time, copper prices have surged, driven by the US imposing a 50% tariff on imported copper and ongoing supply chain constraints. After a brief increase in June, overall energy markets calmed and resumed their downward trajectory. Headline agriculture prices remained stable in July; however, underlying categories experienced some volatility.

Inflation ticked up across the board, partly driven by higher import prices. However, the deflationary environment in China persists, while consumers in other emerging markets caught a break due to slowing price increases. Among the advanced economies, US headline inflation rose 2.7% year over year in June (up from 2.4% in May), while core inflation ticked up to 2.9% (annualized). Eurozone inflation has stabilized around the ECB's 2% target, but services inflation remained elevated at 3.3% in June. UK inflation edged up to 3.6% in June, compared to 3.4% in May, with broad-based increases across most consumption categories.

Among the emerging economies, India's headline consumer price inflation slowed for the eighth consecutive month, reaching 2.1% in July—the lowest reading since 2019. However, core inflation, which excludes the more volatile food and energy components, has been rising steadily since mid-2024 to reach 4.5%. In Brazil, inflation was slightly up, touching 5.35% in June, compared with 5.32% in May. Inflation remains above the central bank's upper target limit of 4.50%. Russia's headline inflation fell to 9.5% in June, with disinflation visible in all main categories. It is expected to continue to decline gradually towards year-end. In June, annual inflation in Mexico declined slightly to 4.3%, down from 4.4% in May.

Globally, both the manufacturing and services sectors expanded in June. That said, the manufacturing sector is giving off mixed signals across countries—some remain in contraction, while a few are expanding. The

June saw broad-based consumer price increases, particularly in developed economies (1/2)

services sector appears to be much more resilient; however, most countries showed little to no change compared to May.

Taking a closer look at individual country indicators, the US showed mixed results with the industrial production index edging up to 104 in June, while the manufacturing purchasing managers' index (PMI) fell to 49.5 in July (down from 52.0 in June), signaling contraction. Eurozone industrial production gained momentum in May, rising 1.7% month on month and 3.7% year on year, while the HCOB Flash Eurozone PMI rose to 51.0 in July (June: 50.6), although the manufacturing PMI was marginally down at 50.7, a four-month low, from 50.8 in June. UK manufacturing showed mild improvement but remained in contraction territory, with industrial production also declining.

Looking at indicators for the emerging economies, data from India's PMI surveys point to further momentum in business activity. Demand-related indicators, including new export orders and domestic sales, showed strong expansion. Manufacturing output rose at its quickest pace in 14 months. Brazil's manufacturing industry has been rebounding, with the Monthly Industrial Physical Production (PIM) Index climbing strongly from 99.2 in April to 106.9 in May (versus the neutral 100 line from January 2022). This was the result of a rise in the extractive industry, which saw a 9.2% rise during the period, while factory production increased 7.4%. Mexico's manufacturing PMI remained in the contraction zone during June, with the S&P Global PMI falling to 46.3 from 46.7 in May. This marked a full year of deteriorating conditions, driven by sharp drops in new and international orders as clients delayed purchases. In turn, manufacturers reduced output, cut back on inputs, and lowered staffing.

The picture for services varies across countries. In the United States, the services PMI improved to 55.2

from 52.9, while in the eurozone, the HCOB Flash Eurozone Services PMI Business Activity Index also gained, up from 50.5 to 51.2 and reaching a six-month high.

The UK services sector, typically a key engine of job creation, posted its strongest growth in activity for ten months in June, driven by a surge in new orders. Among emerging economies, India's services sector recorded its fastest growth in ten months. In Brazil, the Monthly Services Survey (PMS) revenue index increased to 121.04 in May, from 118.2 in April (versus the neutral 100 line from January 2022). This was mirrored in the volume index, which rose to 107.87 (from 104.97).

Looking at labor market dynamics among the developed economies, US total nonfarm payroll employment changed little in July (+73,000)—the trend since April. Similarly, the unemployment rate, at 4.2%, also saw little change in July. However, the U.S. Bureau Of Labor Statistics has reported that revisions for May and June were larger than normal. The change in total nonfarm payroll employment for May was revised down by 125,000, from +144,000 to +19,000, and the change for June was revised down by 133,000, from +147,000 to +14,000. With these revisions, employment in May and June combined is 258,000 lower than previously reported. UK unemployment climbed to 4.7% in the three months to May 2025, up from 3.7% in the same period two years earlier. There are now 2.3 unemployed individuals for every job vacancy, more than double the 1.0 ratio seen in 2022. Among the emerging economies, China's overall surveyed urban unemployment rate decreased slightly to 5.0% in June (5.2% in March). The youth unemployment rate was down to 14.5% in June (16.5% in March). In Brazil, the three-month moving average unemployment rate fell to 6.2% in May (from 6.6% in April), marking a two-month downward trend.

Mexico's total unemployment remained stable at 2.65% in June, while formal employment declined by approximately 46,400 jobs.

July has seen equity markets reach new highs in the majority of countries, although Russia's market remains subdued. In the US, the S&P 500 posted 5.0% gains in June, bringing its 12-month return to 13.6%, while the Dow Jones rose 4.3% and is up 3.6% year to date. Volatility also eased in June, with the CBOE Volatility Index averaging 16.8 (down from 18.6 in May). The cost of capital for governments has remained stable, but at an elevated level.

Global container throughput rose 0.8% in May, while global supply chain pressure eased from its highest level in 2025, as port volumes normalized. Port volumes held steady in June, while inbound spot freight rates dropped in July from their 2025 highs the previous month. However, June also saw ocean freight rates from Chicago to Shanghai undergo a significant increase, approaching their 2023 peaks.

Export growth has remained uneven, rising in the US and China, flat in emerging markets, plunging in the eurozone. Similarly, global import momentum has stayed patchy, dragged down by a sharp eurozone drop. However, the euro area's trade surplus rose significantly in May, reaching €16.2 billion (April: €9.9 billion), driven largely by a rebound in the chemicals sector (surplus up from €22.0 billion to €24.3 billion) and a moderate increase in the machinery and vehicles surplus (from €12.1 billion to €12.9 billion). Exports were stable at €243.0 billion, while imports declined by 7.3% month on month to €226.5 billion. The US goods and services deficit was \$60.2 billion in June, down \$11.5 billion from \$71.7 billion in May. June exports were \$277.3 billion, \$1.3 billion less than May's exports; June imports were \$337.5 billion, \$12.8 billion less in May. The June decrease in the goods and services deficit reflected a decrease in the goods deficit of \$11.4 billion to \$85.9 billion and an

increase in the services surplus of \$0.1 billion to \$25.7 billion. Meanwhile, China's cross-border trade experienced a recovery in the second quarter, registering a year-on-year growth rate of 3.1%, compared to 0.2% in the first quarter. Exports growth remained stable at 6.0%, compared with 5.7% in the first quarter, while imports contraction eased significantly, from -7.0% in the first quarter to -0.9% in the second. India saw both exports and imports fall at similar rates in June, keeping the trade deficit broadly stable at around US \$20 billion. Brazil's June trade balance recorded a surplus of US \$5.8 billion, according to preliminary data, down from US \$7.0 billion in May. The lower surplus was driven by a reduction in exports (US \$29.1 billion in June, down from US \$29.9 billion in May), accompanied by a rise in imports (US \$23.2 billion in June, up from US \$22.9 billion in May). Mexico also recorded a trade surplus in June—of \$514 million—with exports declining to \$54.0 billion (down from \$55.5 billion in May), and imports down to \$53.5 billion (from \$54.4 billion).

[Advanced economies]: US Q2 GDP expands 3% quarter on quarter; EU and US agree trade deal, setting US tariff on EU goods at 15%; UK signs India trade agreement.

United States

The US economy expanded by 3% in Q2 2025; however, interest rates remain high, inflation persists, and growth expectations are slowing.

First GDP estimates for Q2 2025 show the economy grew 3% (quarter on quarter, annualized), primarily driven by household consumption and an improvement in net trade due to a significant decline in imports.

The Federal Reserve held interest rates steady for a seventh consecutive month, keeping the target range at 4.25%–4.5%, where it has remained since January. Despite mounting inflation pressures and slowing GDP forecasts, Fed officials still anticipate two rate cuts later in 2025. The central bank's latest projections show inflation rising to 3.0%, GDP growth slowing to 1.4% (from 2.1%), and unemployment edging up to 4.5%.

Headline consumer price index (CPI) inflation rose 2.7% year over year in June (up from 2.4% in May), while core inflation ticked up to 2.9% (annualized). Median inflation expectations declined slightly to 3.0% for the one-year-ahead horizon and remained stable at 3.0% and 2.6% for the three- and five-year horizons, respectively.

US total nonfarm payroll employment changed little in July (+73,000)—the trend since April. Similarly, the unemployment rate, at 4.2%, also saw little change in July. However, U.S. Bureau Of Labor Statistics revisions for May and June were larger than normal. The change in total nonfarm payroll employment for May was revised down by 125,000, from +144,000 to +19,000, and the change for June was revised down by 133,000, from +147,000 to +14,000. Consumer confidence deteriorated—dropping by 5.4 points to 93.0, according to the Conference Board.

On the consumer front, retail and food services sales rose by 0.6% in June to \$720.1 billion, up from \$715.5 billion in May. Housing activity remained mixed: residential starts rose by 4.6% to 1.32 million units, completions dropped to 1.31 million, the 30-year fixed mortgage rate dipped slightly to 6.7%, and existing home sales declined by 2.7%.

Financial markets remained upbeat. The S&P 500 gained 5.0% in June, bringing its 12-month return to 13.6%, while the Dow Jones rose 4.3% and is up 3.6% year to date. Market volatility declined slightly, with the CBOE Volatility Index averaging 16.8 (down from 18.6 in May).

Industrial activity also showed mixed results: the industrial production index edged up to 104 in June, but the manufacturing PMI fell to 49.5 in July (down from 52.0 in June), signaling contraction. Conversely, the services PMI improved to 55.2 from 52.9.

The US trade deficit widened by 18.7% in May, reaching \$71.5 billion. Exports fell by \$11.6 billion to \$279.0 billion, while imports edged down by \$0.3 billion to \$350.5 billion.

Among trade policy developments, the US announced that it has reached new trade deals with the EU and Japan. In both cases deals establish new tariffs on most exports to the US at a rate of 15%. The deal with Europe also includes a commitment to purchase \$750 billion in US energy over the next three years.

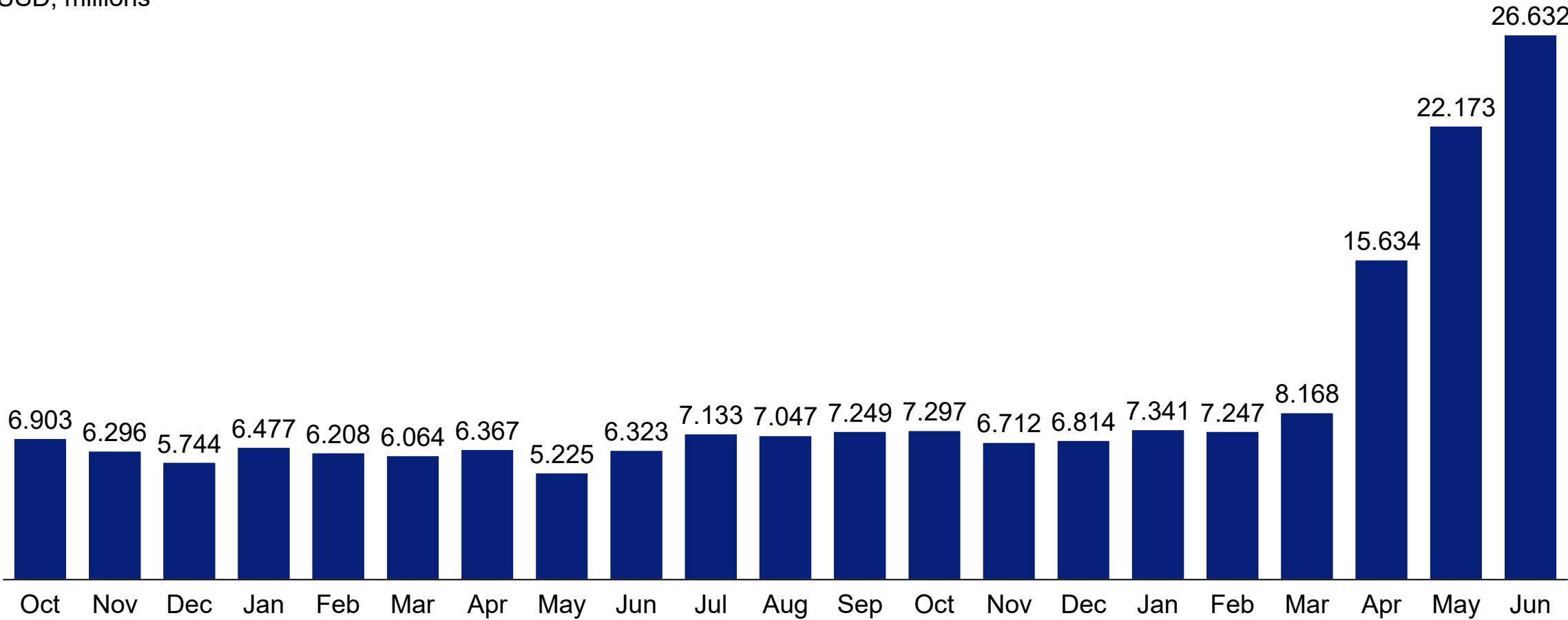
The latest custom duties data shows that new tariffs increased the monthly import tax take from around \$6.5 billion to \$21.5 billion. If the current trajectory continues, new tariffs might bring around \$250 billion to \$300 billion into the government coffers in 2025.



Tariffs led to a substantial increase in customs revenues relative to historical trends

Custom duties revenues

USD, millions



Real GDP for Q2 2025 expanded by 3%; the Fed decided to keep interest rates steady for a fifth consecutive meeting; US and EU reach trade agreement for 15% baseline tariff on EU exports

■ Significant improvement ■ Improving ■ No significant change ■ Worsening ■ Severe decline

	Indicator category	Change vs prior month	Change vs 3-year trend	
Macroeconomic	Consumer			The US economy expanded by 3% in Q2 2025; trade deficit increased by 18.7%; CPI rose 2.7% in June, slightly up from last month - The economy grew by 3%, driven by consumer spending and declining imports, which improved overall net trade. - The industrial production index increased slightly to 104 in June. May's manufacturing PMI fell to 49.5 in July, down from June's 37-month high (52.0); services PMI climbed to 55.2 (52.9 in June). - June's retail and food services sales (adjusted for seasonal variation and holiday and trading-day differences) were \$720.1 billion: up 0.6% from May's revised \$715.5 billion. The Consumer Confidence Index (Conference Board) deteriorated by 5.4 points in June, falling to 93.0 from 98.4 in May. - May's exports reached \$279.0 billion, \$11.6 billion less than in April. May imports were \$350.5 billion, \$0.3 billion lower than April's. The monthly deficit increased by 18.7% to \$71.5 billion (\$60.3 billion in April). - On the housing market, the 30-year fixed-rate mortgage decreased slightly to 6.7%. Existing home sales fell by 2.7% in June. During June, housing residential starts increased to 1,321,000 (above a revised May estimate of 1,263,000)—a 4.6% increase. Completions in June were down to 1,314,000 from a revised May estimate of 1,540,000. - The unemployment rate, at 4.2%, saw little change in July (from June); however, the change in total nonfarm payroll employment for June was revised down by 133,000, from +147,000 to +14,000. - The CPI rose 2.7% for the 12 months ending June, after rising 2.4% over the 12 months ending May. Core inflation edged up to 2.9% (annualized). In June, median inflation expectations decreased by 0.2 percentage points to 3.0% at the one-year-ahead horizon and were unchanged at 3.0% and 2.6%, respectively, at the three-year- and five-year-ahead horizons.
	Business/industry			
	Real estate			
	Trade, external			
	Prices			
	Employment			
Financial markets	Foreign exchange			S&P 500 and Dow Jones up by 5.0% and 4.3% respectively; the FED decided to hold interest rates steady for a seventh month - In June, the S&P 500 was up 5.0%, bringing the one-year return to 13.6%; the Dow Jones gained 4.3% over the month and was up 3.6% year to date. During June, the CBOE Volatility Index averaged 16.8 (18.6 in May). - The Federal Reserve kept interest rates unchanged again in July, at a range of 4.25–4.5%, where they have been since January.
	Equity			
	Debt			
	Credit			
Government & policy	Public policy			US and EU announce trade agreement for a 15% baseline tariff on EU exports; “One Big Beautiful Bill Act” signed into law on July 4 - The US and Europe have struck a framework deal that will see 15% tariffs on most EU exports to the US. The EU has also committed to buying \$750 billion in energy from the US over three years. - On July 3, the House passed a massive spending and tax bill that includes signature policies of President Donald Trump's second-term agenda, sending the “One Big Beautiful Bill”—officially named the “Tax Cuts and Spending Act of 2025”—to the president's desk ahead of a July 4 deadline.
	Public-sector health			

Eurozone

EU and US agree trade deal; trade surplus rebounds in May; ECB maintains rates amid stable outlook; final green light for Bulgaria to adopt euro in 2026.

On July 27, the European Union and the United States announced they had reached a trade deal setting the US tariff on all EU goods at 15%—half the 30% rate previously threatened by the US. The “framework agreement” follows private talks between European Commission President Ursula von der Leyen and US president Donald Trump during a visit to his Turnberry golf resort in Scotland.

Inflation has stabilized around the ECB’s 2% target, but services inflation remained elevated at 3.3% in June. On July 24, the European Central Bank (ECB) decided to keep interest rates unchanged at 2%, pausing after a year of gradual policy easing. The ECB cited a stable inflation path and uncertainties around future trade relations with the United States as reasons for holding steady, signaling a cautious but confident stance on monetary policy.

The euro area’s trade surplus rose significantly in May, reaching €16.2 billion (April: €9.9 billion), driven largely by a rebound in the chemicals sector (surplus up from €22.0 billion to €24.3 billion) and a moderate increase in the machinery and vehicles surplus (from €12.1 billion to €12.9 billion). Exports remained stable at €243.0 billion, while imports declined by 7.3% month on month to €226.5 billion.

Industrial production gained momentum in May, rising 1.7% month on month and 3.7% year on year. Business sentiment showed modest improvement in July. The composite purchasing managers’ index (PMI) rose to 51.0 (June: 50.6), driven by gains in both the services PMI—51.2, up from 50.5—and manufacturing PMI, which was marginally down at 50.7, from 50.8.

However, construction output decreased by 1.7% on the month, though it remained 2.9% above the May 2024 level. The construction PMI declined further to 45.2 in June (May: 45.6), indicating continuing contraction in the sector.

Retail sales weakened in May, falling 0.7% month on month but increasing 1.8% year on year. Consumer confidence edged up by 0.6 points in July but remained well below its long-term average, highlighting continued caution among households.

On July 8, the European Parliament and the Council of the EU granted final approval for Bulgaria’s accession to the euro area, confirming that all legal and convergence criteria had been met. Bulgaria is set to adopt the euro on January 1, 2026, becoming the 21st member of the monetary union.

Looking ahead, modest gains in business sentiment and easing inflation may support continued growth, though headwinds from global trade tensions and sluggish domestic demand remain a concern.



Eurozone recovery remains uneven, with trade and industry improving, while construction, retail, and consumer confidence lag behind

■ Significant improvement
 ■ Improving
 ■ No significant change
 ■ Worsening
 ■ Severe decline

Indicator category		Change vs prior month	Change vs 3-year average	
Eurozone recovery remains uneven with stronger trade surplus and industrial output offset by weak retail and consumer confidence				
Macroeconomic	Consumer			Real retail sales dropped in May by 0.7% month on month but rose by 1.8% year on year. The consumer confidence indicator picked up slightly by 0.6 percentage points in July; however, consumer confidence continues to score well below its long-term average.
	Business/industry			In May, the industrial production index was up by 1.7% month on month and grew 3.7% year on year. The composite PMI rose to 51.0 in July (June 50.6); the services PMI increased to 51.2 in July (June: 50.5); the manufacturing PMI was slightly down at 50.7 (June: 50.8).
	Real estate			Construction output decreased in May by 1.7% month on month but increased 2.9% year on year; the construction PMI fell from 45.6 in May to 45.2 in June.
	External trade			May saw the euro area trade surplus increase from €9.9 billion to €16.2 billion. Exports in May 2025 were stable at €243.0 billion. Imports reached €226.5 billion, down by 7.3% month on month. This improvement was largely driven by a rebound in the chemicals and related products, where the surplus grew from €22.0 billion to €24.3 billion, and a moderate increase in machinery and vehicles, up from €12.1 billion to €12.9 billion.
	Prices			In June, headline inflation was 2.0%—slightly up (+0.01 percentage points) compared to May—with core inflation stable at 2.4% and services inflation at 3.3%—a 0.1 percentage point increase on the previous month. Producer prices rose slightly from May to June, posting an increase of 1.7% month on month and 2.8% year on year in June.
	Labor market			The unemployment rate in April was 6.3%, stable compared to the previous month. Annual nominal wage growth in Q1 2025 was 3.4%. This translated into a solid 1.5% growth in real terms.
Financial markets	Equity			Europe's STOXX 600 stable; rising euro-dollar exchange rate; debt-to-GDP ratio slightly increasing; housing loan surge
	Foreign exchange			
	Debt			
	Credit			
Government & policy	Eurozone member			Final green light for Bulgaria to join eurozone; ECB left interest rate at 2%
	Interest rate			

United Kingdom

UK labor market continues to soften amid tentative consumer recovery and rising inflation.

The UK economy showed signs of resilience in June, with consumer spending rebounding by 0.9% month on month after a steep 2.8% decline in May. Confidence among households appears to be stabilizing, though it remains fragile, suggesting a tentative willingness to spend despite persistent cost pressures. Yet, behind this modest recovery lies a labor market that continues to show clear signs of cooling—raising concerns about the durability of the consumer rebound.

Unemployment climbed to 4.7% in the three months to May 2025, up from 3.7% in the same period two years earlier. There are now 2.3 unemployed individuals for every job vacancy, more than double the 1.0 ratio seen in 2022. This shift underscores a fundamental slackening in labor demand, a trend mirrored in the falling number of vacancies.

In the three months to June, total vacancies declined to 727,000, a sharp 44% drop from the 1.29 million recorded in 2022. While part of this decline is linked to structural shifts—particularly in occupations with high exposure to automation and AI—every major sector has seen a reduction in hiring. Employers are grappling with a mix of rising costs (including higher National Insurance contributions and minimum wage increases), regulatory uncertainty, and sluggish output growth.

The services sector, typically a key engine of job creation, posted its strongest growth in activity for ten months in June, driven by a surge in new orders. However, even in this area of relative strength, firms continue to trim staff—a reflection of cautious business sentiment amid a cooling demand outlook.

Manufacturing showed mild improvement but remained in contraction territory, with industrial production also declining. Despite firmer activity in some parts of the economy, hiring momentum is fading.

These shifts in the labor market are beginning to show up in pay packets. Nominal wage growth slowed to 5.0% in the three months to May, down from higher levels earlier in the year. Adjusted for inflation (CPIH—consumer price index including owner occupiers' housing costs—at 4.0%), real wage growth has decelerated to just 1.0%, offering limited relief for households facing sustained price pressures.

Inflation edged up to 3.6% in June, compared to 3.4% in May, with broad-based increases across most consumption categories. Although consumer prices remain well below their 2022 peak, the trend is far from comforting for the Bank of England, which kept interest rates on hold at 4.25% in July, continuing its “wait and see” stance.

On the trade front, the UK's trade deficit for goods and services narrowed to £6 billion in May, as exports outpaced imports, but the broader trajectory remains negative. House price growth continued at around 2.5% year on year, though this rate has steadily decelerated.

Financial markets were stable, with the FTSE 100 rising 1.6% in July, extending gains from the previous month. The pound held steady against the US dollar, trading around \$1.35 = £1, though performance was mixed against other currencies.

Meanwhile, public finances showed minor improvement, with total government debt declining slightly to £2.98 trillion in June.

King Charles held talks with Indian Prime Minister Narendra Modi on July 24, following signing of a free trade deal by UK Prime Minister Sir Keir Starmer earlier in the day. Originally announced in May, the agreement will shrink levies on UK exports such as whisky, aerospace, electricals, medical devices, and luxury cars. Average tariffs for UK exports to India will reduce from 15% to 3%. Three years in the making, the agreement is expected to increase UK GDP by £4.8 billion annually.



The labor market continues to cool, influencing both business and consumer decisions, while financial markets remained broadly stable

		Change vs prior month	Change vs 3-year trend		
				Significant improvement	Improving
				No significant change	Worsening
					Severe decline
Macroeconomic	Consumer			Inflation edged up in June, while both businesses and consumers remain fragile amid a cooling labor market. - Consumer spending rebounded in June, rising by 0.9% month on month, following a sharp –2.8% decline in May. The recovery was supported by improving consumer confidence, although sentiment remains low and fragile. - On the business side, the manufacturing sector showed signs of improvement but remained in contraction territory, similar to industrial production, which also declined. In contrast, the services sector saw an acceleration in growth, reaching its fastest pace in ten months. - House prices continue to grow at an annual rate of around 2.5%, although this pace has been decelerating for some time. - The trade deficit for goods and services narrowed to £6 billion in May, as exports outpaced imports. However, the broader trend remains negative, pointing to a deterioration in trade dynamics. - Consumer prices continued to rise, with headline inflation edging up to 3.6% in June from 3.4% in May. Price increases were broad-based, with nearly all sub-components of the inflation basket recording gains. - Unemployment rose to 4.7% in the three months to May 2025, compared to 3.7% during the same period in 2022. The number of unemployed people per vacancy increased to 2.3, up from 1.0, indicating a softening in labor market conditions.	
	Business/industry				
	Real estate				
	External trade				
	Prices				
	Employment				
Financial markets	Foreign exchange			Financial markets remained broadly stable in July, with modest gains in equities - Gains in the equity markets from June extended into July, with the FTSE 100 rising by 1.6%. - Government debt declined slightly in June, reaching £2.98 trillion. - The pound remained broadly stable against the US dollar in July, hovering around \$1.35 per £1. However, its performance was mixed against other major currencies.	
	Equity				
	Debt				
	Credit				
Government & policy	Public policy			Monetary policy remained unchanged, with the central bank maintaining a “wait and see” stance - The Bank of England left interest rates unchanged in July, maintaining the key policy rate at 4.25%. - UK Prime Minister Sir Keir Starmer and Indian Prime Minister Narendra Modi signed a comprehensive trade agreement on July 24. This is anticipated to increase bilateral trade by £25.5 billion, £15.7 billion of which is expected to be from rising exports from UK businesses into India.	
	Public-sector health				

[Emerging economies]: China's GDP achieves 5.2% year-on-year growth rate; India's headline consumer inflation lowest since 2019 but core inflation on the rise; Brazil hikes Selic rate to 15%.

China

China's economy maintained strong momentum in Q2, with GDP expanding by 5.2% and outperforming market expectations; investment growth softened while trade picked up pace; real estate transactions continued to shrink.

In the second quarter of 2025, China's GDP reported a resilient growth rate of 5.2% year on year, almost in line with the pace of growth in Q1 (5.4%). The annual target was set at 5.0% earlier this year by the government. Consumption accounted for most of the growth in GDP (52.3%), followed by investment (24.7%) and net exports (23.0%). By sector, the industrial sector's GDP growth slowed to 4.8% year on year from 5.9% in Q1. However, in the services sector GDP growth rose to 5.7%, from 5.3% in Q1.

In the second quarter, fixed-asset investment growth edged down to 2.1%, from 4.2% in the previous quarter. Growth deceleration was recorded across sectors: Investment growth in manufacturing, real estate, and infrastructure declined to 6.7%, –12.5%, and 4.0% respectively in Q2, from 9.1%, –10.0%, and 5.8% in Q1. Private investment sentiment remained weak, with a slower growth rate of –1.1% in Q2, compared with 0.4% in Q1.

Growth in the real estate market continued to be negative during the second quarter. On the demand side, sales revenue for new residential properties declined –9.9% in Q2 (–0.9% in Q1). On the supply side, floor space started fell –15.9% in Q2, compared to a –24.3% contraction in Q1.

In Q2, new credit decreased to RMB 7.6 trillion, down from RMB 15.2 trillion in Q1. However, it still recorded a year-on-year rise of 44.5% in Q2. Total social financing reached RMB 430.2 trillion by June, marking an 8.9% year-on-year increase.

The overall surveyed urban unemployment rate decreased slightly to 5.0% in June (5.2% in March). The youth unemployment rate was down to 14.5% in June (16.5% in March).

In the second quarter, cross-border trade experienced a recovery, registering a year-on-year growth rate of 3.1%, compared to 0.2% in Q1. Specifically, exports growth remained stable at 6.0%, compared with 5.7% in Q1. Meanwhile, the contraction in imports reduced significantly, from –7.0% in Q1 to –0.9% in Q2.

According to data released by the Ministry of Commerce, foreign direct investment inflows to China were significantly down at –21.9% in the second quarter compared with the same period last year (–10.8% in Q1).

In late 2025, the People's Bank of China and other state entities re-emphasized the importance of domestic demand. They announced 19 measures to support consumption, especially in home appliances, passenger vehicles, and services consumption. However, detailed financial support has not been announced.

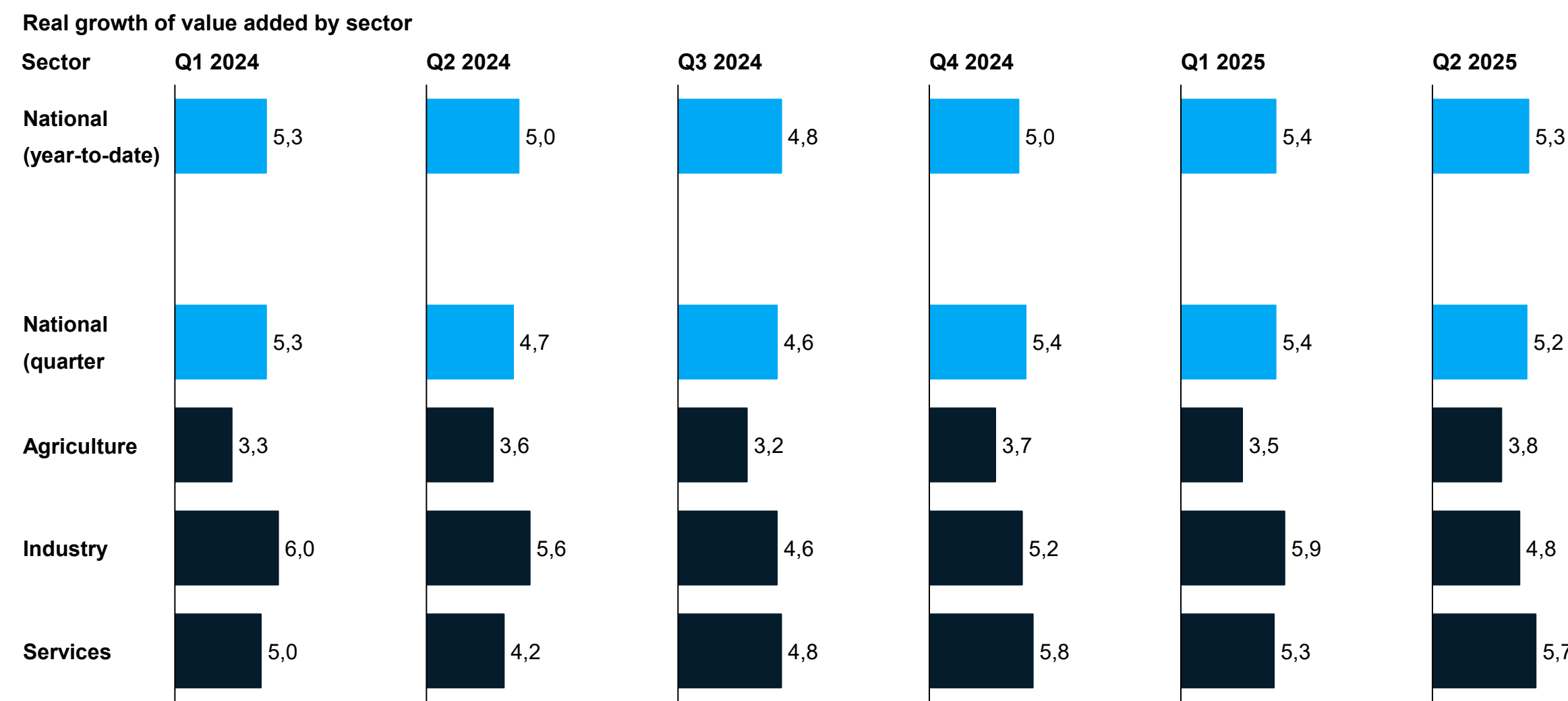
On July 28, China announced a nationwide childcare subsidy program offering families 3,600 yuan (\$503) a year for each child under three, as part of broader efforts to support families and encourage childbirth.



Retail sales growth decelerated; consumer prices returned to positive; trade improved; new credit rose

		Significant improvement Improving No significant change Worsening Severe decline			
Indicator category		Change vs prior year (y-o-y)	Change vs prior month (m-o-m)		
Macroeconomic	Consumer			Retail sales growth declined; trade growth rebounded; consumer prices continued to deflate - Retail sales expanded more slowly at 4.8% in June, down from 6.4% in May. - The official manufacturing purchasing managers' index (PMI) edged up to 49.7 in June from 49.5 in May, while the official services PMI was stable at 50.1 in June (50.2 in May). The Caixin index, which focuses on SMEs, recorded a manufacturing PMI of 50.4, up from 48.3 in May, and a services PMI of 50.6, down from 51.1 in May - Export growth rose to 5.8% in June, up from the 4.8% growth in May. Meanwhile, imports returned to expansion with a 1.1% year-on-year growth (–3.4% in May). - Consumer prices grew at a rate of 0.1% in June, compared with –0.1% in May. Meanwhile, core CPI marginally improved to 0.7% in June from 0.6% in May. Producer prices further deflated at –3.6% in June, compared with –3.3% in May.	
	Business, industry				
	Real estate				
	External sector, trade				
	Prices				
	Employment				
Financial markets	Foreign exchange			RMB appreciates against US dollar; stock market gained value; new credit increased - The RMB appreciated 0.1% against the US dollar compared with the level at the end of June, trading at RMB 7.1745 = USD 1 by July 28. - The Shanghai stock index gained 4.5% in value, and the Shenzhen index 7.2%, by July 28 compared with levels at the end of June. - In June, new credit rose to RMB 4.2 trillion, up from RMB 2.3 trillion in May. - M2 growth accelerated to 8.3% year on year in June, from 7.9% in May.	
	Equity				
	Debt				
	Credit				
Government & policy	Public policy			China announces child subsidy program On July 28, China announced a nationwide childcare subsidy program offering families 3,600 yuan (\$503) a year for each child under three as it seeks to encourage childbirth in the face of an aging population and a declining birthrate.	
	Public-sector health				

China's GDP reported a growth of 5.4% in the first quarter of 2025



India

India's economy remains strong, supported by expanding consumer activity and easing inflation, bolstering growth in both manufacturing and services sectors; financial markets more volatile.

Headline consumer price inflation slowed for the eighth consecutive month, reaching 2.1% in July—the lowest reading since 2019. However, core inflation, which excludes the more volatile food and energy components, has been rising steadily since mid-2024 to reach 4.5%. The uptick was driven largely by the “personal care and effects” category, which recorded its third-highest level since measurements began in 2012. The strength of domestic demand was reinforced by figures from the Retail Association of India showing an 8% year-on-year retail sales increase in June. Importantly, growth was broad-based, with all retail categories registering gains, suggesting a healthy and diversified consumption base.

Survey data from the Purchasing Managers' Index (PMI) point to further momentum in business activity. Demand-related indicators, including new export orders and domestic sales, showed strong expansion. Manufacturing output rose at its quickest pace in 14 months, while services recorded their fastest growth in ten months.

Credit conditions also supported economic activity. Banks reported increased demand for new loans alongside a general easing in lending standards, reflecting both improved business sentiment and household confidence. However, lenders signaled that demand could soften marginally in the coming quarter, given emerging caution around external risks and a potential moderation in investment appetite.

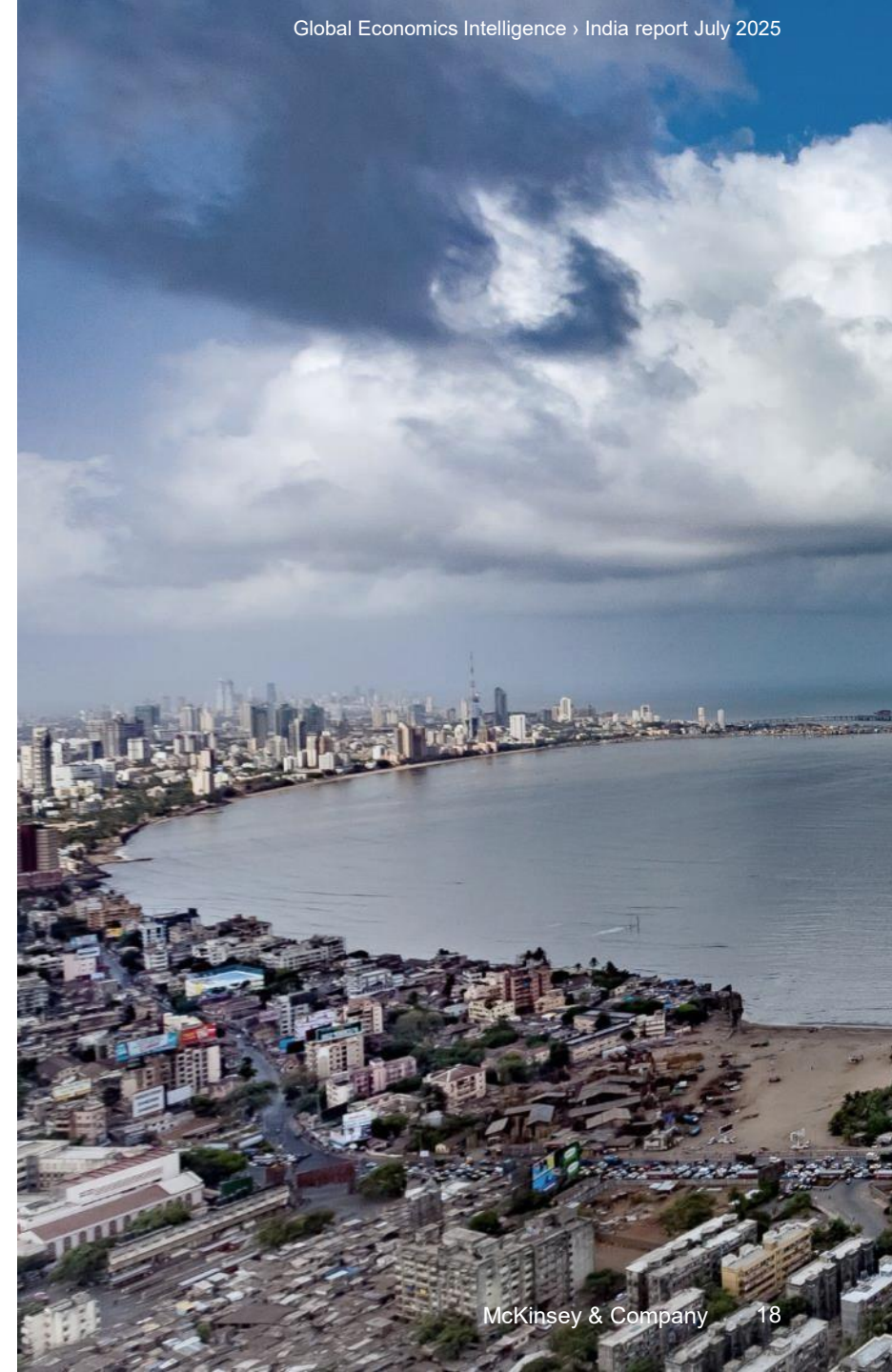
Both exports and imports fell at similar rates in June, keeping the trade deficit broadly stable at around US \$20 billion. The recent 25% tariff on goods exported to the US, along with the possibility of additional secondary tariffs hinted at by the US administration, have heightened trade policy uncertainty, particularly for exporters in key manufacturing subsectors.

Industrial production data painted a more mixed picture. Annual growth slowed, and output fell by 0.8% compared with the previous month. Manufacturing and mining were the main drags, while electricity generation provided a bright spot, increasing over the month and offsetting some of the weakness elsewhere.

Monetary policy remained unchanged, with the Reserve Bank of India holding interest rates steady, signaling a wait-and-see approach as inflation and growth trends diverge. On the currency markets, the rupee depreciated modestly by 0.25% against the US dollar in July (relative to June), reflecting both global dollar strength and modest capital outflows.

Capital markets were more turbulent over the month, with average equity gains only modest. Performance was uneven across sectors: consumer durables and healthcare companies delivered notable positive contributions, while technology stocks underperformed, acting as a drag on broader indexes. The divergence highlights shifting market sentiment as investors weigh domestic growth resilience against external headwinds and tighter global financial conditions.

Following an initial announcement in May, India signed a trade deal with the UK on July 24, anticipated to eventually boost exports to the UK by 25%.



India's economy is gaining momentum, while financial markets have been more volatile; credit market continues to support growing consumption

■ Significant improvement
 ■ Improving
 ■ No significant change
 ■ Worsening
 ■ Severe decline

Indicator category		Change vs prior month	Change vs 3-year trend	
Macroeconomic	Consumer	Improving	Significant improvement	The economy is gaining momentum, fueled by resilient consumer demand and broad-based industrial growth - Consumer spending grew by 8%, supported by easing credit conditions, increased demand for new loans, and rising consumer confidence. - PMI readings point to stronger expansion in both manufacturing and services. However, industrial production showed signs of slowdown, driven mainly by weaker performance in manufacturing and mining. - The trade deficit remained broadly unchanged at around US \$20 billion, though overall trade volumes declined as both exports and imports fell. - Headline CPI inflation slowed for the eighth consecutive month to 2.1% in July—the lowest level since 2019—reflecting easing food price pressures and stable fuel costs. Core inflation, however, accelerated to 4.5%. - Labor market conditions remain broadly healthy but are showing early signs of moderation.
	Business/industry	Improving	Significant improvement	
	Real estate	No significant change	Significant improvement	
	External trade	No significant change	Significant improvement	
	Prices	Improving	Significant improvement	
	Employment	No significant change	No significant change	
Financial markets	Foreign exchange	No significant change	Worsening	Volatility was the word of the month for financial markets, while credit conditions remained strong - The rupee continued to depreciate against the US dollar in July, weakening by 0.25% compared to the previous month, partly due to concerns about the trade situation. - Equity markets were volatile with mixed performance: technology companies ended in the red, while consumer durables posted gains. Overall, markets were broadly unchanged, registering only a 0.5% increase. - Credit markets remained buoyant, with banks reporting higher demand for loans and easing credit conditions; however, the outlook for the next quarter appears less optimistic.
	Equity	No significant change	Improving	
	Debt	No significant change	Improving	
	Credit	Improving	No significant change	
Government & policy	Public policy	No significant change	No significant change	No change in monetary policy stance in July - The central bank kept all interest rates unchanged, reinforcing its current “wait and see” approach. - India signed a trade deal with the UK on July 24, following negotiations lasting over three years. Originally announced in May, the agreement secures lower duties on India's exports of clothing and footwear, jewelry and gems, some food products, and some cars. Meanwhile, India and the EU say they are working to finalize a trade deal by the end of the year.
	Public-sector health	No significant change	No significant change	

Russia

Substantial slowing of economic growth underway in first half of 2025; inflation remains elevated amid monetary easing; federal budget deficit widens; current account surplus narrows.

Statistical authorities have confirmed last month's preliminary GDP growth reading of 1.4% year on year, which marks a substantial slowdown from growth achieved in 2024. On a quarterly basis GDP shrank by 0.6%, the first decline since the invasion of Ukraine in 2022. Inventories and net exports were the two main drags on growth. Output is still supported by war-related sectors.

High-frequency indicators point at sequential growth resuming in Q2. In April–May the total output indicator grew by 1.4% year on year. Moreover, May's reading of over 2.5% above the Q1 level confirms a technical recession has been avoided in the short-term. Overall industrial production across Q2 reversed the decline from Q1 with a recovery to the Q4 2024 level, despite a monthly decline in June. Retail sales grew moderately in May, as in previous months.

GDP forecasts have generally been lowered in recent months due to worsening economic imbalances and a fall in oil prices. The World Bank's forecast published in June expects GDP growth of 1.4% this year. Oxford Economics' July report predicts GDP growth of 1.0%, acknowledging loss of momentum recently and shrinking room for fiscal stimulation. Government investment and consumption will likely be the main growth drivers, amid increasing military spending.

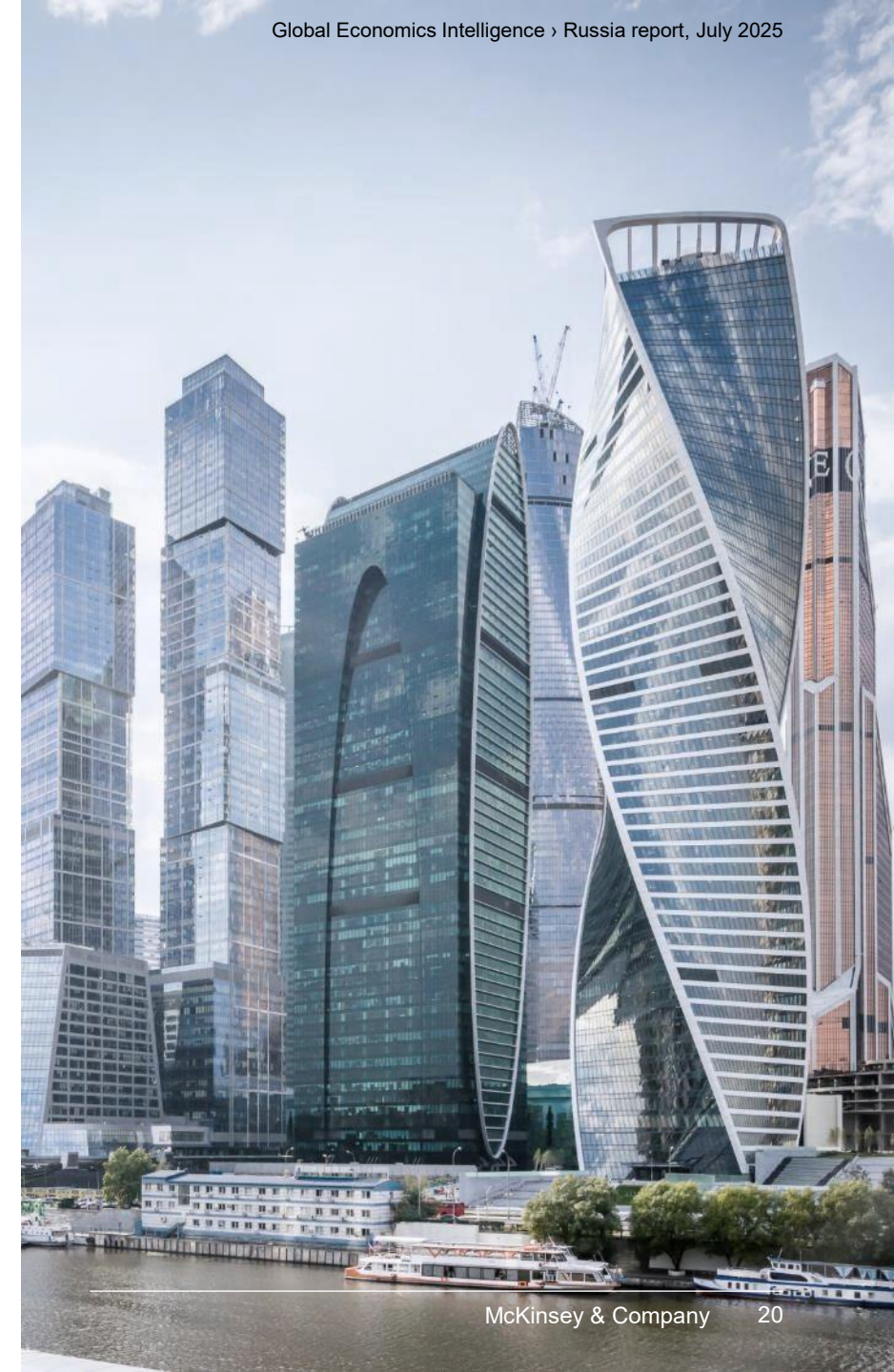
Despite some slowdown in real wages, the labor market will continue to support domestic consumption.

Headline inflation fell to 9.5% in June, with disinflation visible in all main categories. It is expected to continue to decline gradually towards year-end. The Central Bank of Russia began an easing cycle in June and continued in July with a 200-basis-points cut to 18.0%. The disinflationary environment opens the room for more easing in the coming months.

Accumulated federal budget revenues grew 3% year on year in the first half of the year, despite a fall in oil and gas receipts driven by lower prices. Total expenses grew by 20%. As a result, the federal budget deficit widened to 1.7% of GDP, approaching the annual target. Still, given current fiscal patterns and new sanctions imposed by the European Union potentially further constraining hydrocarbon revenues, there is a high risk of overshooting.

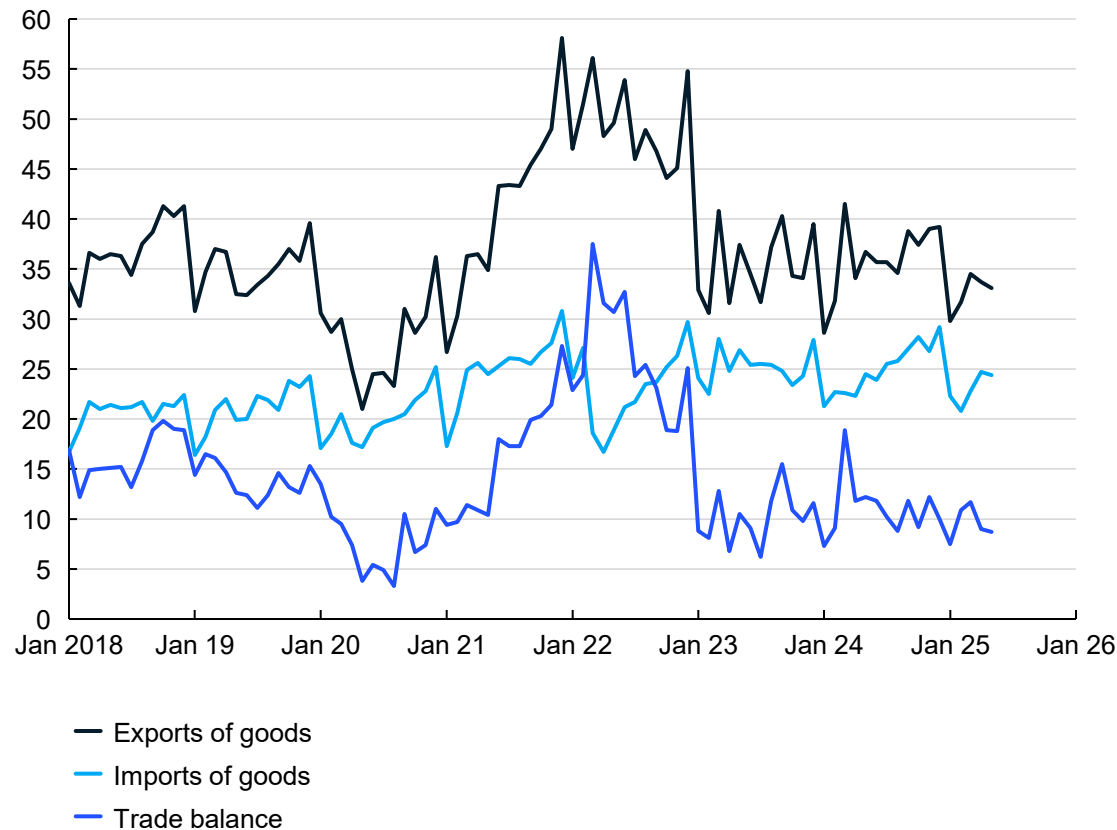
The year-to-date value of goods export across January–May fell by 6%, particularly weighed down by lower oil prices. Meanwhile, the value of imports increased by 1%. The trade balance remains in surplus but has shrunk 17% this year to \$50 billion.

On July 28, during a visit to the UK, US President Donald Trump announced a significantly shorter deadline of 10–12 days for Russia to avoid secondary sanctions on oil exports if Moscow doesn't move to end the war with Ukraine. He had originally announced a 50-day deadline on July 15.

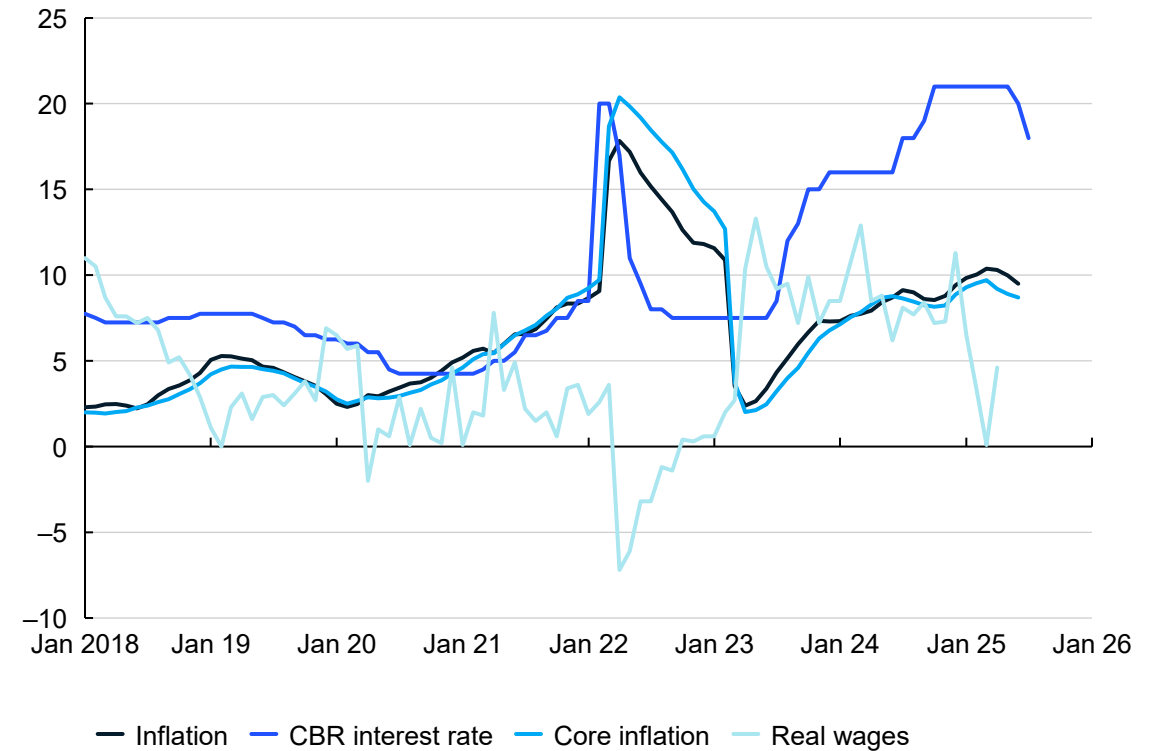


Trade surplus stable in May; inflationary pressures have started to ease, while real wages regained some ground

Foreign trade of goods
USD billion, through May 2025



Inflation: central bank interest rate and real wages
% change (y-o-y); %



Continued recovery of domestic activity following Q1 contraction amid easing inflation, despite slowing credit which undermines demand

■ Significant improvement
 ■ Improving
 ■ No significant change
 ■ Worsening
 ■ Severe decline

	Indicator category	Change vs prior month	Change vs 3-year average
Macroeconomic	Consumer	Improving	Improving
	Industry	Improving	Improving
	Real estate	No significant change	No significant change
	External sector, trade	No significant change	Severe decline
	Prices	No significant change	No significant change
	Labor market	No significant change	Improving
Financial markets	Foreign exchange	Worsening	No significant change
	Equities	No significant change	Severe decline
	Debt	Improving	Worsening
	Credit	Worsening	Improving
Government & policy	Public policy	No significant change	Severe decline
	Public-sector health	No significant change	Severe decline

Continued recovery of domestic activity after contraction in Q1; easing inflation amid slightly less tight labor market

- Retail sales annual growth picked up to around 1.4% in April–May from 1.0% in March. Amid slowing household credit, retail sales expansion relies on sole engine: still-growing real wages.
- Industrial production grew 1.9% year on year in May, up from 1.4% in April. The manufacturing purchasing managers' index (PMI) fell to 47.5 in June, down from May's 50.2, signaling a return to contraction in factory activity and marking the steepest decline since March 2022.
- In May, the trade surplus stabilized around \$9 billion. The value of exports was down 10% year on year, at \$33.1 billion—still above the Q1 average, but with the outlook under pressure from new EU sanctions targeting the price of Russian oil and its shadow fleet. Meanwhile, the stronger ruble bolstered imports demand in both April and May to roughly \$24.4 billion (above the Q1 average of \$21.8 billion).
- Headline inflation fell to 9.5% in June, and the monthly measure halved to 0.2%. Disinflation was visible in all main categories as core inflation fell to 8.7% and is expected to continue a gradual decline towards year-end. Inflation expectations remained at 13%, in July, the same as in June.
- The labor market showed signs of becoming less tight. Real wages in April returned to growth of 3% after stagnating in March, but growth dynamics remain well below the 2024 average of 7.5%. Unemployment remained at a low of 2.2% in May.

Weak credit activity undermining demand

- The ruble recently lost some value, trading at 80 per \$1. Nevertheless, it is now much stronger than in early 2025 (100 per \$1) as most of Russia's foreign trade is settled in rubles, boosting demand for the currency.
- Following interest rate cuts in June (100 basis points) and July (200 basis points) to 18%, 10-year bonds yields fell to 14%, remaining two percentage points higher than at the start of 2024.
- In June, household credit growth stalled, with the total volume of household loans remaining unchanged since February. Corporate credit annual growth fell below 10%, down from 19% growth in 2024.

Economic policy dilemmas discussed at St. Petersburg Economic Forum

- Participants at June's St. Petersburg Economic Forum discussed Russia's current economic situation. The economic development ministry and business representatives argued for lower interest rates and government subsidies to stimulate the economy, while the finance ministry and central bank called for stricter fiscal discipline and maintaining high interest rates.

Brazil

Recent results indicate a complex dynamic for both financial markets and the real economy.

Inflation was slightly up, touching 5.35% in June, compared with 5.32% in May. Inflation remains above the central bank's upper target limit of 4.50%.

The three-month moving average unemployment rate fell to 6.2% in May (from 6.6% in April), in a two-month downward trend.

On the financial markets, the average monthly real-US dollar exchange rate was BRL 5.54 per USD in June (versus BRL 5.66 in May). The Bovespa equities index rose in June, gaining 1.2% in value, while results up until June 23 are already presenting losses of 2.5%.

Consumer confidence remained below the neutral 100 mark, with the seasonally adjusted June figure (from FGV) trending down at 85.9 (86.7 in May). Business confidence also slid slightly to 92.5 (from 94.2 in May).

Brazil's manufacturing industry is rebounding, as the Monthly Industrial Physical Production (PIM) Index increased strongly, climbing from 99.2 in April to 106.9 in May (versus the neutral 100 line from January 2022). This was the result of a rise in the extractive industry, which saw a 9.2% rise during the period, while factory production increased 7.4%.

The Monthly Services Survey (PMS) revenue index increased to 121.04 in May, from 118.2 in April (versus the neutral 100 line from January 2022). This was mirrored in the volume index, which rose to 107.87 (from 104.97). The largest revenue increase was in auxiliary financial activities (up 7.2% since April), followed by road cargo transportation (up 6%). Both sectors also saw the biggest volume

increases, up 7% and 7.2% respectively. The surprise was in the air transportation segment, which saw a revenue drop of 4.9% accompanied by a volume increase of 7.3%.

On June 18, the Banco Central do Brasil's Monetary Policy Committee (Copom) raised the Selic rate from 14.75% to 15% in a unanimous decision. Copom emphasized that the interest rates hike was partially driven by uncertainty in relation to the US economy, geopolitical issues, and sustained inflation in Brazil, despite "some dynamism" in the labor market accompanied by moderate economic growth. Ahead of Copom's next meeting, to be held on July 30, the markets are eyeing moves by the Fed and other international factors.

June's trade balance recorded a surplus of US \$5.8 billion, according to preliminary data, down from US \$7.0 billion in May. The lower surplus was driven by a reduction in exports (US \$29.1 billion in June, down from US \$29.9 billion in May) accompanied by a rise in imports (US \$23.2 billion in June, up from US \$22.9 billion in May).

On July 9, the US Government imposed 50% tariffs on imports from Brazil. According to US President Donald Trump's public statements, the move is designed to apply pressure in relation to domestic political issues in Brazil, notably former president Jair Bolsonaro's trial in the Supreme Court for allegedly attempting a coup d'état. More recently, the US administration suspended travel visas for selected Supreme Court justices and family members. More sanctions are expected, as President Lula has set a confrontational tone in his public appearances.

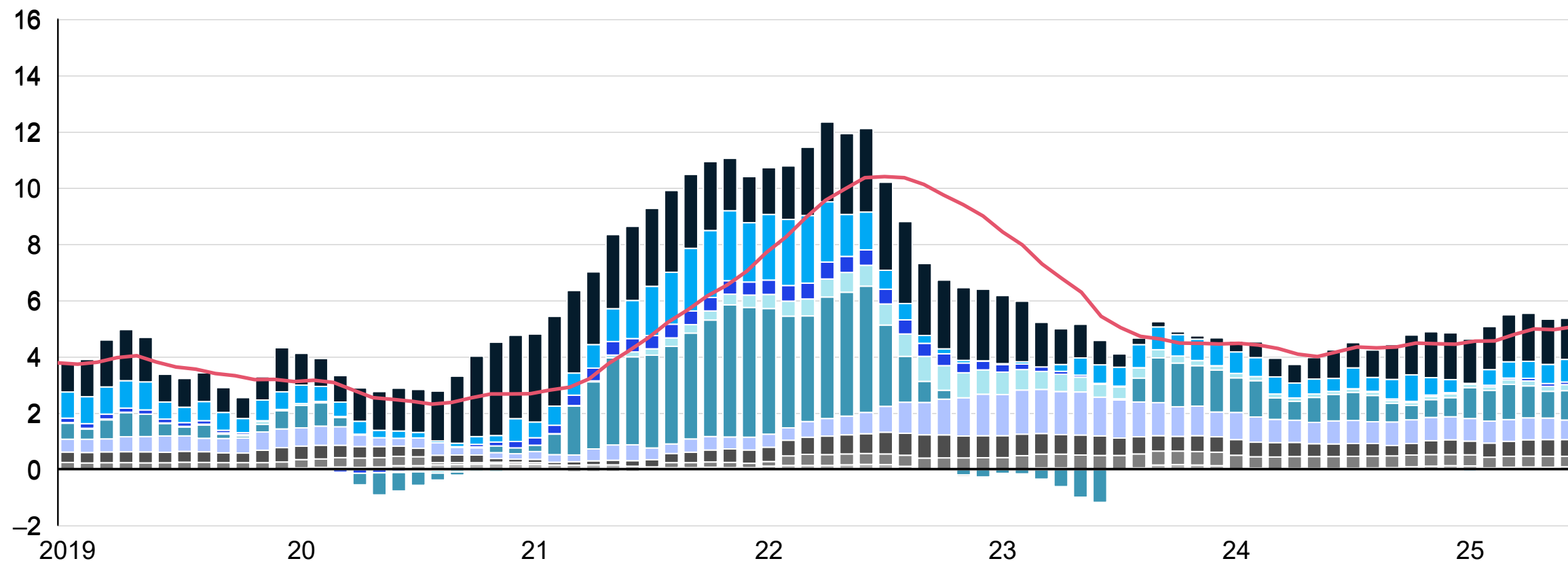


Inflation's steady rise was driven by food and beverages and transportation in July

Inflation by category and core inflation

Y-o-Y change

Food & beverage Household goods Transport Personal expenses Communication
 Housing Clothing Health & personal care Education Core inflation



Both real economy and financial markets sending ambiguous signals

■ Significant improvement
 ■ Improving
 ■ No significant change
 ■ Worsening
 ■ Severe decline

	Indicator category	Change vs prior month	Change vs 3-year trend	
Macroeconomic	Consumer			Real economy gave off mixed signals between May and June - Consumer confidence diminished slightly to 85.9 in June, from 86.7 in May. Retail sales boomed, expanding 4.5% in May, after a sharp decline since December 2024. - Business confidence also edged down to 85.9 in June (from 94.2 in May). Industrial production rose strongly, reaching 106.9 in May, up from 99.2 in April. Services revenue also increased, reaching 121.04 in May, up from 118.2 in April. Construction confidence stood at 94 in June, down from 93.9 in May. - In June, the trade balance recorded a surplus of US \$5.8 billion, a drop from May's US \$7.0 billion. - Inflation accelerated slightly to 5.35% in June (up from 5.32 % in May). Among the largest price rises are items such as rideshare transportation (44.49%), fish meat (36.50%), and jewelry (30.60%). High coffee prices—up 77.88% over the past 12 months—are reflecting the failed Vietnamese harvest, domestic climate-related disruptions, and recent FX fluctuations. - The three-month moving average unemployment rate fell to 6.2% in May.
	Business, industry			
	Real estate			
	Trade, external			
	Prices			
	Labor market			
Financial markets	Foreign exchange			Brazilian real appreciates against US dollar; Bovespa index dips in July - In June, the monthly average exchange rate was BRL 5.54 per US dollar versus BRL 5.66 in May. On July 23, the real closed on 5.52 per dollar. - The Bovespa equities index rose 1.2% during June and lost 2.5% this month (up until July 23).
	Equity			
	Debt			
	Credit			
Government & policy	Public policy			Markets revise CPI projections down, but maintain policy rate expectations - The Central Bank's Focus Bulletin—a summary of current financial market projections (published July 18)—revised CPI forecasts downwards for 2025 (to 5.10% from 5.17%) and for 2026 (to 4.45% from 4.50%), while maintaining previous projections for 2027 (4%) and making a slight downward revision for 2028 (3.8% from 3.81%). - Benchmark (SELIC) interest rate expectations remain at 15% for 2025. They were also maintained at 12.5% for 2026 and 10.5% for 2027. GDP is projected to grow 2.23% in 2025, 1.88% in 2026, and 2% in 2027 and 2028.
	Public-sector health			

Mexico

Mexico posted a trade surplus in June, while inflation declined slightly; Mexican peso appreciated against the US dollar.

In June, annual inflation in Mexico declined slightly to 4.3%, down from 4.4% in May. On the currency front, the peso appreciated against the US dollar, strengthening from MXN 19.4 = USD 1 in May to MXN 19.0 in June.

Mexico's manufacturing purchasing managers' index (PMI) remained in the contraction zone during June, with the S&P Global PMI falling to 46.3 from 46.7 in May. This marked a full year of deteriorating conditions, driven by sharp drops in new and international orders as clients delayed purchases. In turn, manufacturers reduced output, cut back on inputs, and lowered staffing.

In the labor market, total unemployment remained stable at 2.65% in June. However, formal employment declined by approximately 46,400 jobs.

Mexico recorded a trade surplus of \$514 million in June, as exports declined to \$54.0 billion (down from \$55.5 billion in May), while imports were down to \$53.5 billion (from \$54.4 billion). In June 2025, Mexico's total exports fell slightly by 0.1%, driven by a sharp drop in oil exports (-9.2%) and agricultural products (-6.5%), partially offset by a modest rise in manufacturing exports (+0.4%). Imports dropped more notably, by 0.8%, mainly due to reduced purchases of petroleum-related goods and intermediate inputs.

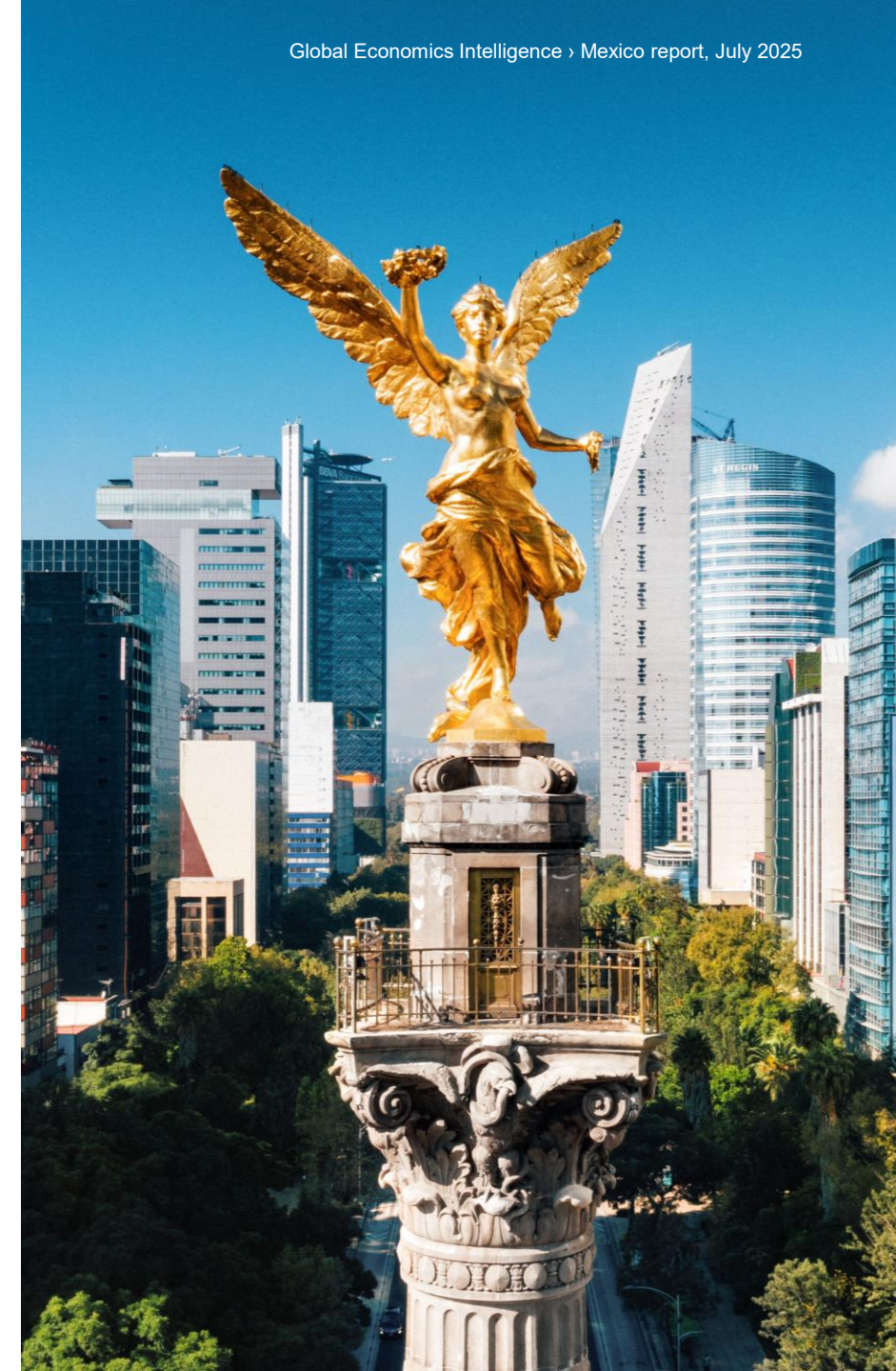
In July 2025, US President Donald Trump announced plans to impose 30% tariffs on all Mexican imports

starting August 1 unless Mexico steps up efforts to fight fentanyl trafficking, reduce migration at the US border, and improve cooperation on security.

President Claudia Sheinbaum and Foreign Minister Alicia Bárcena pushed back, saying these are shared responsibilities, while calling on the US to curb the flow of guns into Mexico and address its own drug demand. The Mexican government stressed the need for dialogue over confrontation to avoid a trade war.

This comes amid heightened tensions over Mexico's controversial judicial reform, which has raised alarms in Washington regarding the rule of law and investor protections. Rising cartel violence, record asylum applications, and a series of mass killings in Mexico have further fueled concerns among US policymakers.

Total Mexican exports to the US exceeded \$450 billion in 2024, and a 30% blanket tariff could severely disrupt major industries. While the proposed 30% tariffs would apply broadly, they would largely target non-USMCA-compliant products. Goods that meet USMCA rules—covering about half of Mexico's exports—are expected to remain exempt indefinitely, offering some relief to sectors such as automotive and electronics. Separately, 25% tariffs on steel and 10% on aluminum imports from Mexico have been in effect since early 2025, ending prior exemptions and piling pressure on Mexico's heavy industry. Still, some sectors—such as tequila—remain shielded from tariffs under USMCA rules, offering limited protection in an otherwise uncertain trade environment.



Peso appreciated against US dollar; inflation declined; unemployment remained stable

		Change vs prior month	Change vs 3-year trend	
Indicator category				
Macroeconomic	Consumer	Improving	Worsening	In June, the balance of trade registered a surplus, while inflation declined - The manufacturing PMI declined from 46.7 in May to 46.3 in June, marking a full year of deteriorating conditions. - In June, the balance of trade registered a surplus of approximately US \$514 million, as exports dropped to US \$54.0 billion (down from US \$54.4 billion in May) and imports declined slightly to US \$53.5 billion (down from US \$54.5 billion). - The average unemployment rate remained stable at 2.65% in June, while formal employment dropped by about 46,400 jobs. - Inflation edged down slightly from 4.4% in May to 4.3% in June.
	Business, industry	Worsening	Worsening	
	Real estate	No significant change	Worsening	
	Trade, external	Improving	No significant change	
	Prices	Improving	Improving	
	Labor market	Improving	No significant change	
Financial markets	Foreign exchange	No significant change	Worsening	In June, the Mexican peso appreciated further against the US dollar; the Mexican Stock Market Index (IPC) declined - The monthly average exchange rate reached MXN 19.0 per US dollar in June, strengthening from MXN 19.4 in May. - The Mexican IPC has risen roughly 10% year to date (as of end-July 2025), with strong performance in select sectors despite global and domestic headwinds. Communication services increased by some 3.1% in the last month, Consumer staples have seen a steady demand for essentials such as food, beverages, and retail.
	Equity	No significant change	Worsening	
	Debt	Improving	No significant change	
	Credit	No significant change	No significant change	
Government & policy	Public policy	No significant change	Significant improvement	- In June and July, cartel-related violence in Mexico intensified, with a surge in attacks targeting public officials, local candidates, and civil servants. This violence has taken place against the backdrop of Mexico's June 2025 judicial elections, which saw record low turnout and widespread skepticism over whether courts can remain independent and protect political dissent. - US officials have increasingly highlighted cartel violence and border insecurity as national security concerns in the context of recent and proposed tariff measures. - A 2025 report from the Institute for Economics and Peace estimates that criminal activity and violence cost Mexico around US \$245 billion in 2024, equivalent to nearly 18% of GDP.
	Public-sector health	No significant change	Improving	

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